

high of \$1,924. Platinum, however, rebounded by only about half this amount. Platinum seemed to be a train wreck waiting to happen. I felt that platinum should lead on the downside because it was the weakest link in the precious metals complex. My strategy was to sell platinum on a downside penetration of the reaction low that had formed following the break from the 2011 high and to add on a downside breakout of an extended trading range. The beauty of selling the weak link is that this market has already shown its reluctance to make new highs. Therefore, I think the risk is the lowest, and sometimes the reward is also the highest.

These examples are very helpful. Can you give me one more?

My challenge is to pick up on the subtle nuances of the various markets and to anticipate changes or accelerations in trends. I've found that by observing how the markets relate to one another, you can often detect when patterns of behavior change. A change in behavior is usually a failure of one or more related markets to confirm an existing move and serves as a warning sign.

Since the 2008 financial crisis, market correlations have been extremely high. So high, in fact, that the media now simply refers to trading days as either "risk on" or "risk off." In my opinion, the driver is usually the equity market. The typical stimulus-response pattern is:

Equities Up = Commodities Up = Dollar Down

The opposite price movements occur on "risk off" days. Furthermore, if commodities are up, then commodity currencies are up. These patterns have been unmistakable and consistent.

In mid-September [2011], however, this market behavior abruptly changed. Although stocks were closing at month-to-date highs, commodities were weaker, with the commodity index approaching year-to-date lows, and the dollar was stronger for the month. This counter-to-anticipated price action was huge! Copper, in particular, which is typically a leading indicator for the economy and commodity prices, was leading the way down, trading just above year-to-date lows, and clearly unable to benefit from the equity strength.

My strategy was simply to sell commodities and commodity currencies if they violated key technical levels—I used reaction lows and new month-